

Banking on Enabling Technology

FINO's biometric smart cards bring banking services right to the doorsteps of the urban poor

In order to service the savings needs of the urban poor, Financial Information Network & Operations (FINO) has developed micro-banking technology to cater to this segment. Founded in 2006, to enable financial institutions serve the underserved and the unbanked sector, FINO has designed a biometric smart card which is easy to use and highly secure to conduct financial transactions and track them electronically. With these smart cards, customers can access doorstep banking for an array of financial and non-financial services.

FINO cards serve as unique fool-proof IDs for consumers and store

their demographic data, relationships information and fingerprints. These cards allow customers identification without any requirement of a PIN/password like in traditional channel delivery system. It is a completely offline solution and requires only a smart card reading device and a fingerprint sensor. The card is swiped on a point-of-sales machine each time a customer wants to deposit or withdraw money and the information is uploaded on to the bank's backend computer servers by FINO. Says Manish Khara, CEO of FINO: "Through this card we are enabling formal banking system, which functions like

an informal channel. Roving agents of FINO carry handheld devices on which they swipe the cards and collect deposits from the customers at their doorsteps and also allow withdrawals in the same way." FINO manages 13 lakh such accounts for its partner banks. Customers can deposit cash daily or weekly, all they need to do is contact the agent on phone. With RBI allowing NGOs to act as business correspondents for banks, they are increasingly using FINO's smart cards to offer savings products to urban poor. FINO has a tie-up with over 15 banks and operates in many cities and towns.

loans. Interestingly, the urban MFIs are mainly targeting women entrepreneurs as they are said to be better managers and stable borrowers. MFIs, thus, mitigate their risks, apart from facilitating growth and empowerment of women entrepreneurs in urban areas.

At interest rates of 10-24 per cent, India's micro-entrepreneurs dwelling in slums have found a new lease of life. Easwari, who supplies food to Chennai's poor, managed to break free from the debt trap after she repaid the costly

loans to the local money lender. Since most urban poor are outside the formal financial sector, exorbitant interest rates charged by the informal sector, primarily money lenders, keep them in perennial debt. Even at 18-24 per cent interest rates going to MFIs works out cheaper compared with the 40-50 per cent rates charged by money lenders.

Banks are now installing biometric ATMs in areas like Dharavi in Mumbai, to cater to this consumer base. After Citibank, Canara Bank has installed its

first biometric ATM in Dharavi, which is its 10th such machine in India. These ATMs read fingerprints and are expected to serve, amongst others, primarily the lower middle-income segment comprising the working class.

Given that banks and large financial services companies lack the channels to directly cater to the urban poor, non-banking financial companies (NBFCs) have come to play a critical role in facilitating financial inclusion of the Next Billion. While no financial service



REUBEN SINGH

BALA

BUSINESS: Vegetable selling in Delhi
LOAN: Rs 8,000 to buy more vegetables
IMPACT: She expanded her daily turnover and thereby raised her income from Rs 4,000 to Rs 7,000 per month